

L9b: Pricing American Style Options Contracts using the Cox, Ross, Rubinstein (CRR) Binomial Model

CHEME 5660 Cornell University

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Objectives for Today

Previously, we priced European options, which can be exercised only at expiration. Standard options on stocks and ETFs are American-style and can be exercised at any time. What is the right to exercise early worth?

Today's concepts

- Distinguish between European and American options: exercise only at expiration, or at any time before expiration.
- Apply the binomial model to price American options: build CRR trees and compute premiums with the decision rule for early exercise. Estimate the same premium by Monte Carlo simulation.
- Decompose option premiums into components: intrinsic value (immediate exercise value) and extrinsic value (time value).

Lectures and Examples

Lecture:
CHEME-5660-L9b-Lecture-American-Derivatives-Intrinsic-Extrinsic-Value-Fall-2026.ipynb

Example 1:
CHEME-5660-L9b-Example-AmericanContractsPremium-Fall-2026.ipynb

Example 2:
CHEME-5660-L9b-Example-LSM-Premium-Fall-2026.ipynb

Example 3:
CHEME-5660-L9b-Example-ExtrinsicValue-Fall-2026.ipynb

Review on your own:
CHEME-5660-L9b-Example-Hull-American-Put-Fall-2026.ipynb

Company Profile: The Options Clearing Corporation

OCC stands between the buyer and the seller of every U.S. listed option. It opened in 1973 as CBOE Clearing Corporation and became OCC in 1975.

- Exercise and assignment: OCC assigns each early exercise at random to a clearing member with a short position in the same contract.
- Automatic exercise at expiration: since 1977, an expiring equity option in the money by 0.01 USD/share or more is exercised unless the holder instructs otherwise.
- Monte Carlo margin and binomial trees: since 2006, STANS simulates 10,000 two-day scenarios and reprices American options on a binomial tree.

Connection to today's lecture: a seller of an American put can be assigned once exercising now beats holding, so a European-premium margin would leave out the early-exercise premium.

American Style Options Contracts

American-style options contracts allow the holder to exercise the option at any time before or on the expiration date. Previously, we wrote the premium of an American-style contract as:

$$\mathcal{P}^{\text{AM}} = \sup_{\tau \leq T} \mathbb{E}_{\mathbb{Q}}\Big(\mathcal{D}_{\tau,0}^{-1}(g_y) \cdot V(K, S(\tau))\Big) \geq \mathcal{P}^{\text{EU}}$$

The exercise time τ is chosen using only the information available at that time (a stopping time). The American premium is at least the European one because the American holder can always wait until expiration.

The standard method to price American options is the Cox, Ross, Rubinstein (CRR) binomial model.

Reference: Cox, J. C., Ross, S. A., and Rubinstein, M. (1979). Option pricing: A simplified approach. Journal of Financial Economics 7(3): 229.

CRR Binomial Lattice Model

At each time step, the share price moves up by a factor u with the risk-neutral probability q, or down by a factor d with probability $(1-q)$. The CRR parameters are no longer data driven: q makes the expected return of the underlying asset match the risk-free rate g_y.

$$
\begin{aligned}
\mathcal{D}_{1,0}(g_y) \cdot S_0 &= \mathbb{E}_{\mathbb{Q}}\left(S_1\right) && \text{grow at the risk-free rate under } \mathbb{Q} \\
&= q \cdot (u \cdot S_0) + (1-q) \cdot (d \cdot S_0) && \text{up with probability } q\text{, down with } (1-q) \\
&= S_0(qu + d - qd) && \text{factor out } S_0 \text{ and expand } (1-q)d \\
&= S_0(d + q(u-d)) && \text{collect the } q \text{ terms} \\
\implies & \boxed{q = \frac{\mathcal{D}_{1,0}\left(g_y\right) - d}{u - d}} && \text{divide by } S_0 \text{ and solve for } q
\end{aligned}
$$

Here $\mathcal{D}_{1,0}(g_y) = e^{g_y \Delta t}$ is the risk-free accumulation factor for one time step. This is the risk-neutral probability we found by ruling out arbitrage when we introduced lattice models, with $R_f = \mathcal{D}_{1,0}(g_y)$.

CRR Up and Down Factors

Unlike the data-driven binomial model we discussed earlier, the CRR model derives u and d based on the volatility σ of the underlying asset, the time step Δt, and the symmetric condition $ud = 1$:

$$\boxed{\begin{aligned} u &= e^{\sigma\sqrt{\Delta t}} \\ d &= e^{-\sigma\sqrt{\Delta t}} \end{aligned}}$$

Here σ is the same volatility as in geometric Brownian motion and the Black–Scholes–Merton formula (units: $\mathrm{yr}^{-1/2}$).

Where do u and d come from? advanced/crr_factors/CHEME-5660-L9b-Advanced-CRR-Factors-Fall-2026.ipynb

Historical or Implied Volatility?

There are two ways to put a number on σ, and the second also gives a quick range for the share price:

- Historical volatility: previously, we estimated σ from past share prices as $\hat{\sigma} = \sigma_{\text{ann}} = \sqrt{\Delta t} \cdot \sigma_g$, where σ_g is the standard deviation of the growth rates and Δt is the time between price observations. This estimate looks backward.
- Implied volatility: the implied volatility (IV) is the market's forecast of a likely movement in the share price, the volatility "implied" by an option's market price through a pricing model such as Black–Scholes–Merton or CRR. It is often equal to or larger than the historical volatility.
- How can we use it? IV represents a one-standard-deviation movement in the share price over the next year. Over a horizon of T years, the size of that move scales with $\sqrt{T}$.

A Back-of-the-Envelope Range from IV

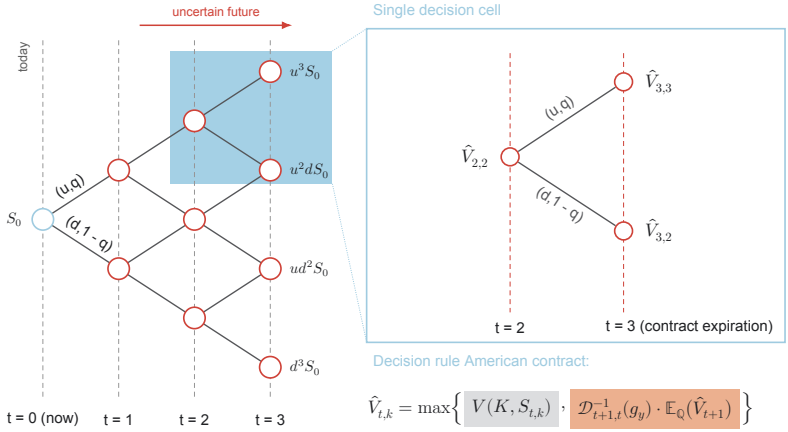
Moving one standard deviation up or down in the solution of geometric Brownian motion gives a back-of-the-envelope range for the share price:

$$
\begin{aligned}
S(T) &= S_0 \exp\left[\mu_g T + \sigma\sqrt{T}\, Z\right] && \text{solution of geometric Brownian motion} \\
S_\pm &= S_0 \exp\left[\mu_g T \pm \text{IV}\sqrt{T}\right] && \text{set } \sigma = \text{IV and } Z = \pm 1 \\
&\approx S_0 \exp\left[\pm \text{IV}\sqrt{T}\right] && \mu_g T \text{ is small next to IV}\sqrt{T} \text{ for short } T \\
&\approx S_0 \left(1 \pm \text{IV}\sqrt{T}\right) && e^x \approx 1 + x \text{ for small } x
\end{aligned}
$$

Here μ_g is the mean growth rate, Z is a standard normal random variable, and $S_\pm$ is the share price one standard deviation above or below S_0. For example, a share at S_0 = 100 USD/share with IV = 40% and 30 days to expiration (T = 30/365 years) has IV$\sqrt{T}$ = 0.115, so the range is about 88.5 to 111.5 USD/share. Under the model, the share price ends inside this range about 68% of the time.

Decision-Rule for American Options

At each node, the American holder decides to exercise now or hold for the future.



The Early-Exercise Premium

At expiration, each node's value is the contract's payoff. Working backward, the American holder takes the larger of exercising now and holding for the future, while the European holder can only hold:

$$\hat{V}^{\mathsf{AM}}_{t,k} = \max\Big\{\underbrace{V(K, S_{t,k})}_{\text{exercise now}},\ \underbrace{\mathcal{D}^{-1}_{t+1,t}(g_y)\cdot\left(q\,\hat{V}^{\mathsf{AM}}_{t+1,k+1} + (1-q)\,\hat{V}^{\mathsf{AM}}_{t+1,k}\right)}_{\text{hold for the future}}\Big\}$$

$$\hat{V}^{\mathsf{EU}}_{t,k} = \mathcal{D}^{-1}_{t+1,t}(g_y)\cdot\left(q\,\hat{V}^{\mathsf{EU}}_{t+1,k+1} + (1-q)\,\hat{V}^{\mathsf{EU}}_{t+1,k}\right)$$

Here $\hat{V}_{t,k}$ is the contract's value at the node with k up moves in t steps, $S_{t,k} = S_0 u^k d^{t-k}$ is the share price there, and $\mathcal{D}^{-1}_{t+1,t}(g_y) = e^{-g_y \Delta t}$ discounts one time step. The hold term is the European premium formula applied over one step. The premium is $\mathcal{P} = \hat{V}_{0,0}$, and $\mathcal{P}^{\mathsf{AM}} - \mathcal{P}^{\mathsf{EU}} \geq 0$ is the early-exercise premium.

A Hypothetical Example from Hull

Consider a put contract.

- Contract: the strike price is $K = 52$ USD/share on a stock whose current price is $S_0 = 50$ USD/share.
- Lattice: two time steps of 1 year each. In each period, the stock price moves up by a factor of $u = 1.2$ or down by a factor of $d = 0.8$.
- Pricing inputs: the continuously compounded risk-free rate is $g_y = 5\%$, so the risk-neutral probability of an up move is $q = (e^{0.05} - 0.8)/(1.2 - 0.8) = 0.6282$.

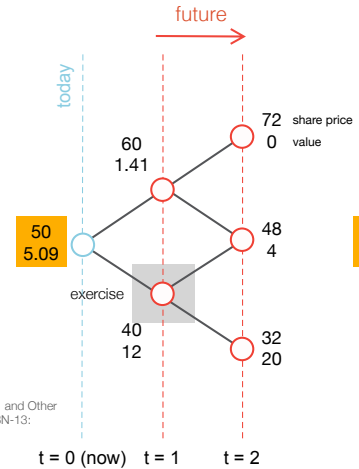
What is the price of the American and European put option contracts?

Source: Chapter 13 of Hull, Options, Futures, and Other Derivatives, 9th edition (2015).

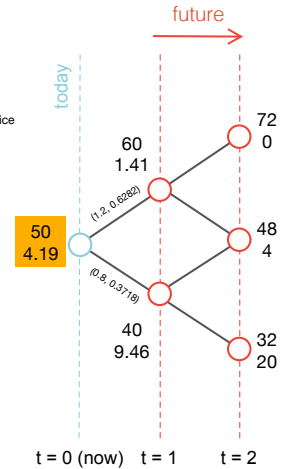
American versus European Put on One Lattice

Example: Hull 13.4 and 13.5

American Put contract



European Put contract



Reference: John C. Hull "Options, Futures, and Other Derivatives" 9th edition, 2015. Pearson, ISBN-13: 978-0133456318

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Early Exercise in the Hull Example

At the down node at $t = 1$, exercising pays 12 USD/share, while holding is worth 9.46 USD/share, so the American holder exercises.

That one decision raises the premium from 4.19 to 5.09 USD/share, an early-exercise premium of about 0.90 USD/share.

Review on your own: CHEME-5660-L9b-Example-Hull-American-Put-Fall-2026.ipynb

Compute the Price of an American Call and Put Option Contract

Now that we've explored the decision rule through the Hull example, let's apply these concepts to real market data: CRR prices for American calls and puts from the course's options archive, compared with market prices across strike.

When does early exercise pay? For a call on a share that pays no dividend, exercising early never helps. Exercising early means paying the strike sooner and owning the shares if the price then falls below the strike, so $\mathcal{P}_c^{\mathsf{AM}} = \mathcal{P}_c^{\mathsf{EU}}$.

For a put, exercising early can pay when the put is deep in the money. The holder receives the strike now and earns the risk-free rate on it, so $\mathcal{P}_p^{\mathsf{AM}} > \mathcal{P}_p^{\mathsf{EU}}$ is possible.

Example 1: CHEME-5660-L9b-Example-AmericanContractsPremium-Fall-2026.ipynb

Monte Carlo Pricing of American Options

Previously, we priced European contracts by simulating share prices under $\mathbb{Q}$. Longstaff and Schwartz extended this approach to American contracts. The decision rule needs the expected value of holding, which they estimate by regression, working backward from expiration:

- Simulate: M share price paths under $\mathbb{Q}$ on the exercise dates. At expiration, each path's cash flow is its payoff.
- Regress: the discounted later cash flows of the in-the-money paths on their share prices, giving the continuation value $\hat{C}(S) = \beta_0 + \beta_1 S + \beta_2 S^2$.
- Decide: exercise if $V(K, S(t)) > \hat{C}(S(t))$. The payoff now replaces that path's later cash flow.

Reference: Longstaff, F. A., and Schwartz, E. S. (2001). Valuing American options by simulation: a simple least-squares approach. Review of Financial Studies 14(1): 113–147.

The Early-Exercise Premium by Simulation

The premium is the average discounted cash flow over the paths.

Holding on every path gives the European Monte Carlo premium, so the difference estimates the early-exercise premium.

Example 2: CHEME-5660-L9b-Example-LSM-Premium-Fall-2026.ipynb

Extrinsic versus Intrinsic Value of American Options

The premium (price) of an American option can be broken down into two components: intrinsic value and extrinsic value.

- Intrinsic value: the immediate exercise value, $\max(0, S(t) - K)$ for a call and $\max(0, K - S(t))$ for a put, where $S(t)$ is the current share price.
- Extrinsic value: also known as time value, the additional value from the potential for future price movements before expiration.

The extrinsic value $E_V(t)$ can be expressed mathematically as:

$$E_V(t) = \text{Option Price} - \text{Intrinsic Value}$$

Extrinsic Value

In expanded form, the extrinsic value $E_V(t)$ is:

$$E_V(t) = \begin{cases} \mathcal{P}_c(K, S(t)) - \max(0, S(t) - K) & \text{(for Call Options)} \\ \mathcal{P}_p(K, S(t)) - \max(0, K - S(t)) & \text{(for Put Options)} \end{cases}$$

When the option is out of the money, it has no intrinsic value, and the entire option price is extrinsic value.

Why do people pay money for something that is "worthless"? There is still a chance that the share price moves favorably before expiration.

As time moves towards expiration, the extrinsic value tends to decrease (time decay), because there is less time for the share price to move favorably.

Example 3: CHEME-5660-L9b-Example-ExtrinsicValue-Fall-2026.ipynb

Optional Advanced Material

CRR factors: advanced/crr_factors/
CHEME-5660-L9b-Advanced-CRR-Factors-Fall-2026.ipynb

In this notebook, we derive the up and down factors of the CRR model by matching the variance of the lattice's one-step log return to the variance of geometric Brownian motion. We then check the match on the lattice priced with the risk-neutral probability, and find how small the time step must be to keep that probability between zero and one.

Notebooks: lectures/week-9/L9b/advanced, also linked from the lecture notebook.

Summary

Today we priced American options with the CRR binomial model and Monte Carlo simulation, and split option prices into intrinsic and extrinsic components.

Key takeaways

- Binomial trees and simulation price American options: at each node, the holder exercises or holds, so backward induction computes the premium. The American premium exceeds the European premium only when exercising early can pay at some node, as it can for puts. Longstaff–Schwartz simulation estimates the same premium by regression.
- Intrinsic and extrinsic value tell different stories: intrinsic value is the immediate exercise value, and extrinsic value is the potential for favorable price movement before expiration.
- Extrinsic value depends on multiple factors: time to expiration, volatility, and moneyness. Longer-dated options typically carry more extrinsic value.